Weekly Ship Recycling Report

7 October - 14 October 2022

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Visit : www.best-oasis.com

Email: bol@bol.ae

Head Office: 3201, Saba Tower 1, Cluster E, Jumeirah Lake Towers, Dubai, U.A.E

Contact: +971 4575 4667

Highlights of the Week

Steel prices worldwide are under pressure due to the alarm bells ringing for a possible recessionary phase in most regions. In the ship recycling industry, even though the major recycling destinations are facing issues such as fluctuating currency exchange rates, restrictions on Letters of Credit issuance and dwindling demand, offer prices remain stable week-on-week due to the shortage of tonnage available for recycling. Among the subcontinent players, Bangladesh is leading the price board, closely followed by India and Pakistan.

European countries have begun implementing emergency measures to mitigate rising energy prices. The steel sector is among those energy-intensive industries that are particularly vulnerable to the ongoing energy crisis, thus impacting steel prices. Rising input costs, on top of eroding demand, have already caused a wave of curtailments that threaten the viability of Europe's entire metal sector.

A significant consumer pullback is showing up in ocean shipping, with almost a 20% drop in ocean freight orders for the months of September and October. The decline in demand cuts across many products, resulting due to a combination of too much inventory coupled with a lack of clarity on consumer demand.

The International Monetary Fund has cut its growth forecast for 2023 and warned of a cost of living crisis as the global economy continues to be affected by the war in Ukraine, broadening inflation pressures and a slowdown in China. The fund maintained its global economic estimate for this year at 3.2 per cent but downgraded next year's forecast to 2.7 per cent. In short, the worst is yet to come, and for many people 2023 will feel like a recession," said Pierre-Olivier Gourinchas, IMF chief economist.

Exchange Rates:

USD / INR

This Week	: 82.37
Previous Week	: 82.38
Gained	: 0.01 %

USD / BDT

This Week	: 101.72
Previous Week	: 102.55
Gained	: 0.81 %

USD / PKR

This Week	: 219.27
Previous Week	: 219.79
Gained	: 0.24 %

USD / TL

This Week	: 18.57
Previous Week	: 18.58
Gained	: 0.05 %

India

Offer prices remain stable

- Domestic steel market is going through a slow period ahead of the festive holidays, which has weakened buying activity and resulted in some inventory pile-up. Only need-based buying is the order of the day because of inflationary pressures.

- As a result of the weakening rupee, end-buyers are now relying more on domestic materials rather than committing to imports that will require payment at the future exchange rates.

- India has proposed additional customs duties of 15 per cent on the import of 22 products from the UK in retaliation to Britain's decision to impose restrictions on steel products. The measures imposed by the UK consist of tariff-rate quotas imposed on 15 steel product categories with an out-of-quota duty of 25 per cent.

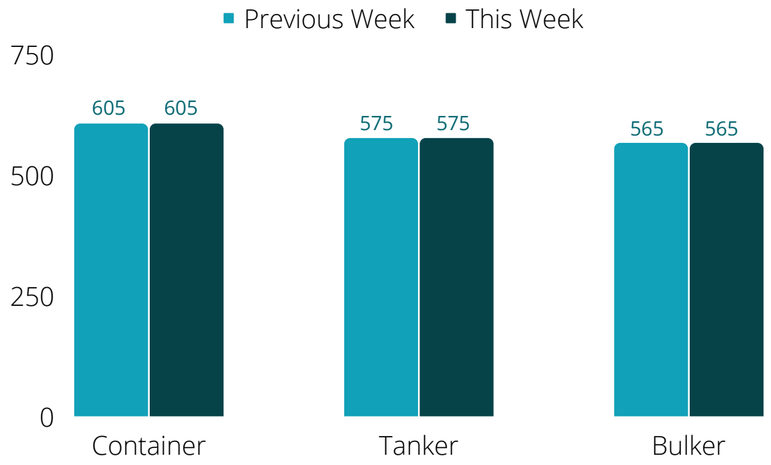
Beaching Dates

25 October to 31 October 2022

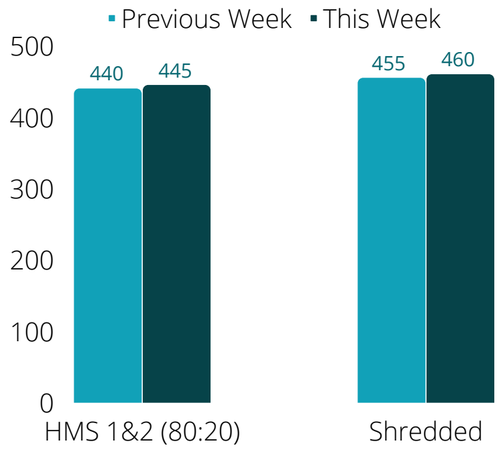
6 November to 13 November 2022

22 November to 29 November 2022

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

Domestic market showing signs of recovery

- The domestic finished steel market has started showing signs of recovery which is encouraging the recyclers to bid competitively for the scarcely available tonnage in the market. However, the issue of Forex shortage still remains a major hindrance for the end buyers in securing tonnage.

- The International Monetary Fund has cut its GDP growth forecast for Bangladesh in F.Y. 2022-23 to 6 percent from its previous projection of 6.7 percent. While economic distress is weighing down all South Asian countries, some are coping better than others, and Bangladesh is one of them, as the country is not facing any political instability, the inflation is still below 10 percent and its reserves have not fallen to dangerously low levels.

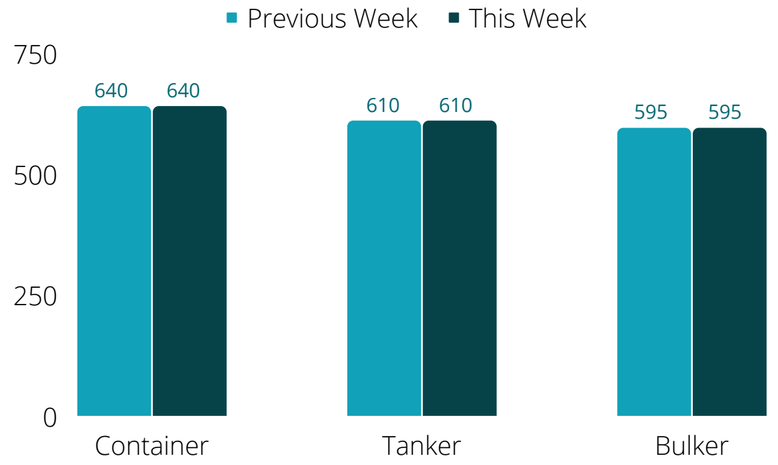
Beaching Dates

24 October to 27 October 2022

6 November to 9 November 2022

22 November to 25 November 2022

Price for Recycling Ships in Bangladesh



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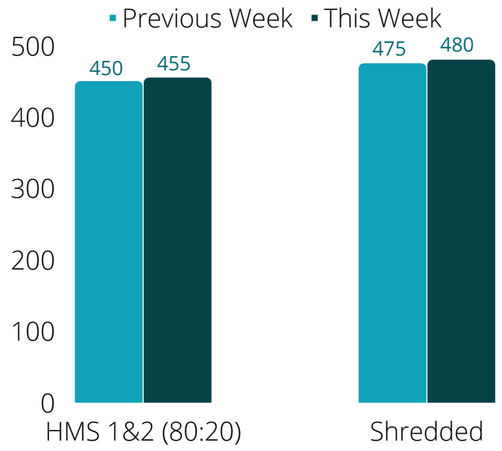


Pakistan

Demand curve remains flat

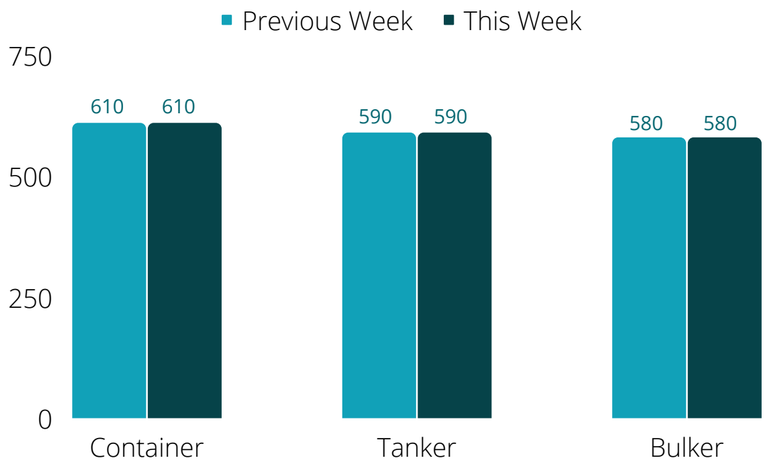
- The recycling market in Gadani remained quiet this week as the domestic steel prices have dropped due to a lack of demand amid floods and currency devaluation, followed by an increase in energy and input costs. The recyclers are also experiencing difficulties in opening Letters of Credit as it is taking upto a month for most goods.

- Pakistan's foreign exchange reserves dropped to the level which can cover less than six weeks of imports as assistance from multilateral lenders and friendly countries is yet to flow. Authorities, meanwhile, have imposed curbs and are deferring import payments to protect the declining reserves that are hurting economic activity.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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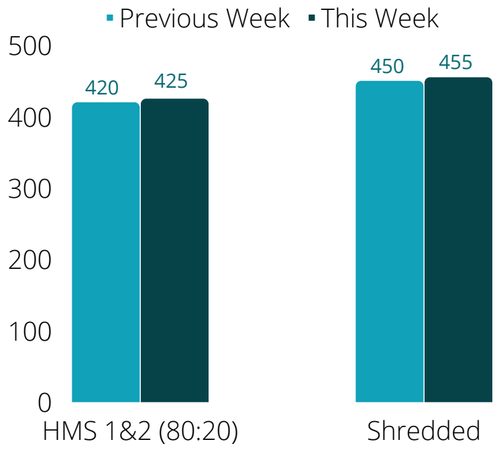


Türkiye

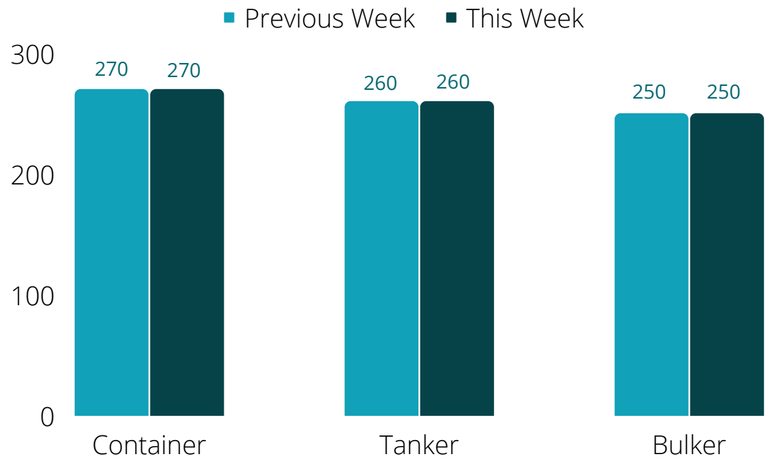
Weak market sentiments

- Two Barge vessels of about 7000 LWT have arrived in Aliaga this week.
- The European Council has adopted the European Commission's proposal of an eight sanction package against Russia which seeks an import ban on steel products processed in third countries using steel originating from Russia. Negatively impacted by dumped steel exports from Russia, Turkey's exports to the EU will also be at risk in the coming period with these sanctions.
- President Erdogan welcomed Vladimir Putin's proposal to turn Turkey into a regional hub for natural gas, potentially positioning the country as a key route for Russian flows to Europe.
- The Turkish Lira has remained relatively stable against the dollar over the last one month after falling by 28.36% against the USD since January 2022.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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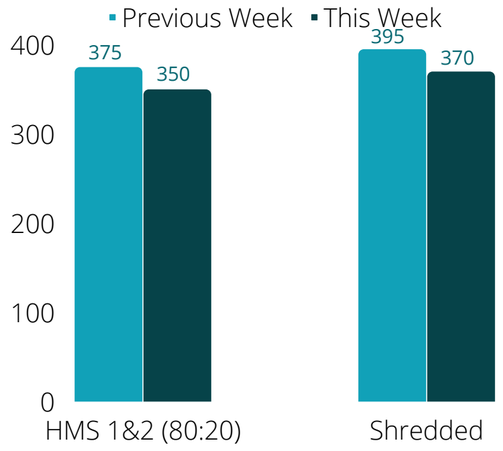
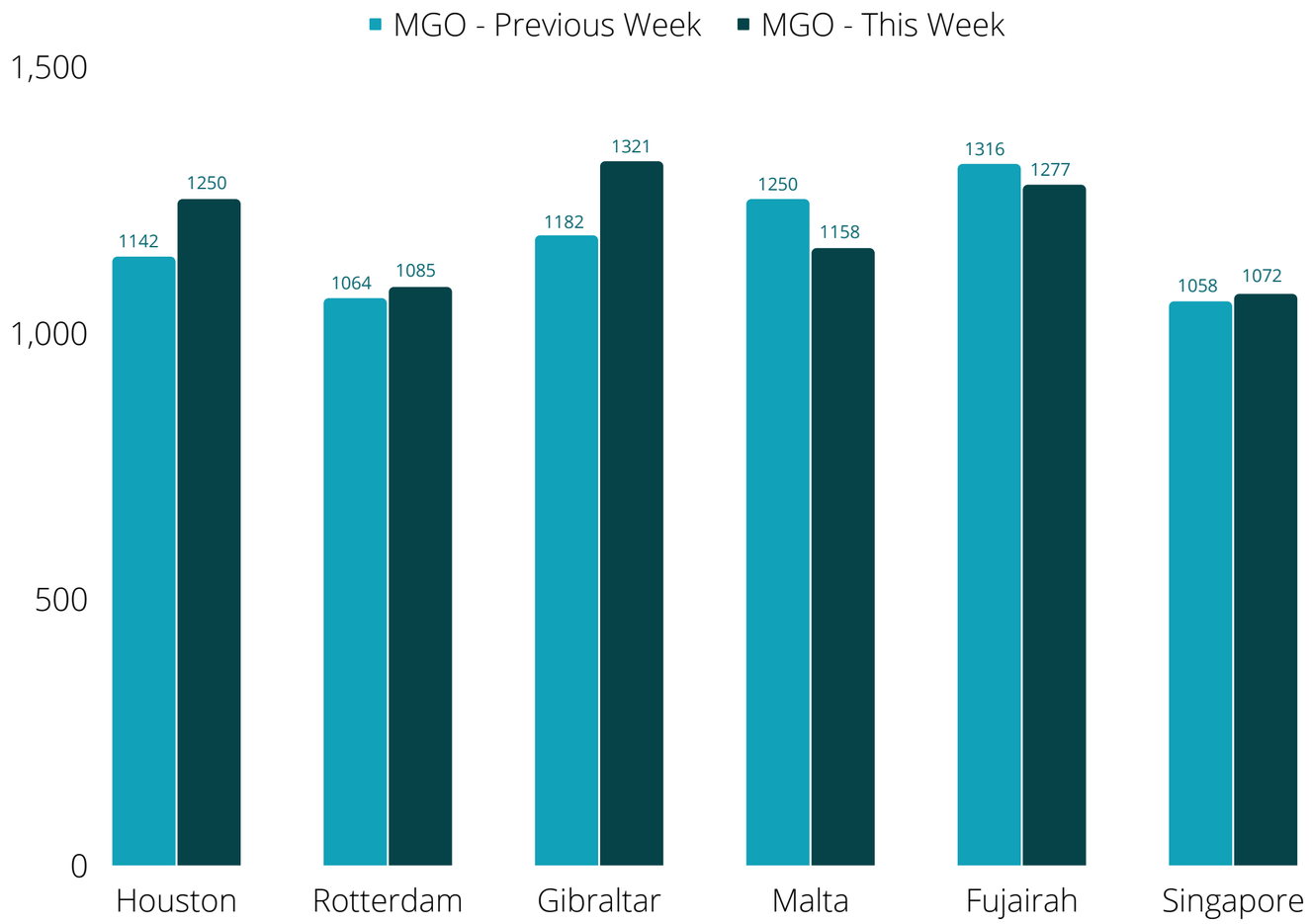


Bunker Prices at Port



Brent Crude

This Week	:	92.59
Previous Week	:	94.29
Movement	:	-1.80 %

WTI Crude

This Week	:	87.34
Previous Week	:	88.34
Movement	:	-1.13 %

- There are two dominant forces in the oil market at the moment; the economic outlook being the primary downside risk and OPEC+ being the upside.

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We, at Best Oasis and Priya Blue, are glad to continue our association with TradeWinds as the Principal Sponsors of one of the biggest event in the Ship Recycling Industry.

The much anticipated TradeWinds Ship Recycling Forum returns as an in-person event in 2022. This forum brings the whole Ship Recycling industry together to discuss, debate and strategize the way forward amidst the complexities and changing landscape of the industry.

Join us in Dubai on 18 and 19 October to gain unparalleled insights, understanding of the regulations, technical knowledge and reputation risk assessment for profitable, safe and environmentally sound recycling of your assets.

TRADEWINDS SHIP RECYCLING FORUM 2022

SOFITEL DUBAI DOWNTOWN

18-19 OCTOBER 2022

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List of Vessels Sold this Week

- No Vessel sales to report this week

Contact Us

Germany

Mr. Gerd Leopold
S&P Consultant

Phone: +49 417 188 0204
Mobile: +49 172 370 1021

Greece

Mr. Yiannis Kourkoulis
Vice President - Purchase

Phone: +30 210 0101 450
Mobile: +30 694 258 3977

Ms. Irini Mylona
Commerical Executive

Phone: +30 210 0101 450
Mobile: +30 694 484 3136

U.A.E.

Mr. Naren Sampath
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 55 836 9147

Mr. Asif Ali
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 58 645 0162

China

Capt. Steven Xu
Company Representative

Mobile: +86 136 6600 0719

Japan

Mr. T Ishii
Company Representative

Work: +81 354 522 405
Mobile: +81 901 536 1497

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